

Kotak Mahindra Bank Ltd

KOTAKBANK | Unknown

64,053.0

Revenue (■ Cr)

22,530.0

Net Profit (■ Cr)

14.0%

ROE

83.7%

OPM

4.0

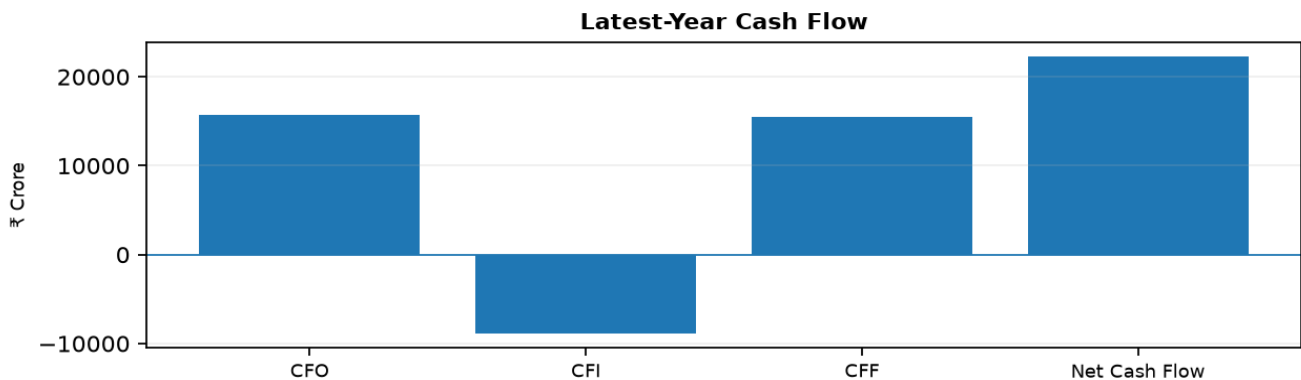
Debt / Equity

6,766.0

Free Cash Flow (■ Cr)

Financial Performance

Balance Sheet & Cash Flow Intelligence



CAPITAL ALLOCATION: Reinvestor

PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

CONS

- Debt-to-equity ratio of 4.00 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital